J.P.Morgan



# NVIDIA Corporation

## Strong Results/Guide on AI/Accelerated Compute; Demand Continues to Outstrip Supply Through CY24; Reit OW

**Overweight**

**NVDA, NVDA US**
Price (21 Feb 24):$674.72

▲**Price Target (Dec-24):$850.00**
Prior (Dec-24):$650.00

**Semiconductors & Semiconductor Capital Equipment / IT Hardware**

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**Key Changes (FYE Jan)**

| | Prev | Cur |
|---|---|---|
| Adj. EPS - 25E ($) | 18.85 | 22.70 |

**Quarterly Forecasts (FYE Jan)**

Adj. EPS ($)

| | 2024A | 2025E | 2026E |
|---|---|---|---|
| Q1 | 1.09 | 5.32 | |
| Q2 | 2.70 | 5.49 | |
| Q3 | 4.02 | 5.80 | |
| Q4 | 5.16 | 6.09 | |
| FY | 12.96 | 22.70 | |

**Style Exposure**

| Quant Factors | Current %Rank | Hist %Rank (1=Top) 6M | 1Y | 3Y | 5Y |
|---|---|---|---|---|---|
| Value | 81 | 88 | 84 | 77 | 79 |
| Growth | 25 | 80 | 71 | 74 | 33 |
| Momentum | 5 | 1 | 46 | 55 | 93 |
| Quality | 2 | 7 | 6 | 7 | 2 |
| Low Vol | 58 | 63 | 63 | 45 | 72 |
| ESGQ | 21 | 9 | 11 | 2 | 1 |

NVIDIA reported Jan results (revenue/GMs/EPS ) well above consensus and off of a higher Jan-Qtr revenue base, the team guided to a 9% Q/Q increase in the Apr-Qtr, well-above consensus on continued strong spending from its customers to support their AI/accelerated compute initiatives (both training/inference). More importantly, the team noted that demand will continue to outstrip supply through CY24, allaying fears of an inventory build/correction in the 2H of the year. The team feels constructive on the sustained growth into CY25+ driven by transition to accelerated computing, proliferation of generative AI applications, and build-out of sovereign AI. The team provided examples of the strong AI monetization from their customers ( e.g. ServiceNow drove their largest ever net-new annual contract value contribution, Microsoft 365 Copilot grew faster in its first two months than the two previous major Microsoft 365 enterprise suite). China sales were MSD% of datacenter revenues in the Jan-Qtr and the team expects to remain at this level for the Apr-Qtr.The team is sampling China compliant products, which we believe could potentially drive revenue upside later in the year. Datacenter grew 28%+ Q/Q in the Jan-Qtr on strong compute demand (up 27% Q/Q) which is also driving demand for its InfiniBand/Ethernet networking solutions (Networking up 28% Q/Q). In fact, the networking business now exceeds $13B on an annualized revenue run-rate (from >$10B in the Oct-Qtr). We estimate the team can drive 10-15% Q/Q growth in the Data Center business for the Apr-Qtr. On the software side, the team exit the Jan-Qtr at a $1B annualized revenue run-rate (from a "few hundred million" a few quarters ago). Multiple new products across its Datacenter portfolio are also ramping (e.g. H200 and Spectrum-X) to augment the strong forward growth profile. Longer term, the team continues to maintain a 1-2 step lead ahead of competitors with its silicon/hardware/software platforms, and a strong ecosystem (4M CUDA software developers) and the team is further distancing itself with its aggressive cadence of new product launches and more product segmentation over time. We increase our forward estimates and increase our Dec-24 PT to $850 (from our prior PT of $650), and reiterate our OW rating.

- **Strong F4Q24 (Jan-Qtr) results led by continued strong AI demand pull for its Data Center products**. NVIDIA reported F4Q24 revenue of $22.10B (up 22% Q/Q), well above consensus ($20.4B) led by the continued strong demand pull for its its Datacenter solutions. Datacenter revenue grew 27% Q/Q on strong demand pull for its H100 products (DataCenter Compute up 27% Q/Q) and high performance networking products (up 28% Q/Q). In fact, its networking revenues exceeded $13B on a annualized revenue run-rate. Gaming revenues was flattish Q/Q on seasonal strength and strong demand for its RTX 40 series. Pro Vis (up 11% Q/Q) continues to recover following channel inventory normalization. Auto was up 8% Q/Q. GM of 76.7% was above consensus. EPS of $5.16 was well-above consensus.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

**See page 10 for analyst certification and important disclosures.**

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## Price Performance


| | YTD | 1m | 3m | 12m |
|---|---|---|---|---|
| Abs | 36.2% | 13.4% | 35.1% | 226.7% |
| Rel | 31.8% | 10.5% | 25.3% | 202.0% |

## Company Data

| | |
|---|---|
| Shares O/S (mn) | 2,499 |
| 52-week range ($) | 746.11-204.21 |
| Market cap ($ mn) | 1,686,125.00 |
| Exchange rate | 1.00 |
| Free float(%) | 96.0% |
| 3M - Avg daily vol (mn) | 45.00 |
| 3M - Avg daily val ($ mn) | 25,324.8 |
| Volatility (90 Day) | 37 |
| Index | S&P 500 |
| BBG BUY\|HOLD\|SELL | 60\|5\|1 |

## Key Metrics (FYE Jan)

| $ in millions | FY24A | FY25E |
|---|---|---|
| **Financial Estimates** | | |
| Revenue | 60,922 | 104,142 |
| Adj. EBIT | 33,069 | 63,685 |
| Adj. EBITDA | 33,493 | 64,109 |
| Adj. net income | 32,312 | 56,606 |
| Adj. EPS | 12.96 | 22.70 |
| BBG EPS | 21.59 | 25.05 |
| Cashflow from operations | 28,091 | 48,207 |
| FCFF | 27,023 | 46,907 |
| **Margins and Growth** | | |
| Revenue Growth Y/Y (%) | 125.9% | 70.9% |
| EBIT margin | 54.3% | 61.2% |
| EBIT growth | 464.5% | 92.6% |
| EBITDA margin | 55.0% | 61.6% |
| EBITDA Growth Y/Y (%) | 433.2% | 91.4% |
| Net margin | 53.0% | 54.4% |
| Adj. EPS growth | 288.4% | 75.2% |
| **Ratios** | | |
| Adj. tax rate | 12.1% | 17.0% |
| Interest cover | - | - |
| Net debt/Equity | NM | NM |
| Net debt/EBITDA | NM | NM |
| ROE | 99.3% | 80.0% |
| **Valuation** | | |
| FCFF yield | 1.6% | 2.8% |
| Dividend yield | 0.1% | 0.1% |
| EV/Revenue | 27.4 | 15.6 |
| EV/EBITDA | 49.9 | 25.3 |
| Adj. P/E | 52.1 | 29.7 |

## Summary Investment Thesis and Valuation

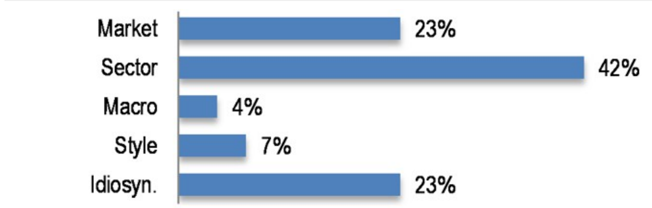
### Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

### Valuation

Our Dec-24 PT assumes that NVIDIA trades at 30-35x applied to ~$29.00 of earnings power in CY25, discounted back to CY24 assuming a 12% discount rate. Our outlook of $29.00 of earnings power assumes the team will drive its earnings power by 30%+ per year over the next few years led by the continued strong datacenter growth (30-40% CAGR), monetizing an incremental ~$14B of auto revenue pipeline and an incremental $2-3B of software, licensing, and subscription revenues over the next 3-4 years.

## Performance Drivers




| Factors | 6M Corr | 1Y Corr |
|---|---|---|
| **Market:** MSCI US | 0.65 | 0.48 |
| **Sect:** Technology | 0.78 | 0.78 |
| **Ind:** Semicond & S Equip | 0.94 | 0.89 |
| **Macro:** | | |
| Economic Surprise | 0.01 | 0.25 |
| US 10yr Breakeven | -0.40 | -0.21 |
| Crude Oil | -0.23 | -0.20 |
| **Quant Styles:** | | |
| DivYld | -0.41 | -0.38 |
| LowVol | -0.08 | -0.35 |
| Growth | 0.01 | 0.33 |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **F1Q25 (Apr-Qtr) guidance well above consensus on continued strong Datacenter demand driven by accelerated compute/generative AI**. Apr-Q revenue guidance of $24.0B (up 9% Q/Q, up 234% Y/Y) was well above consensus ($21.90B) on continued strong DataCenter demand given the strong demand pull from Generative AI/LLMs and on the continued ramp of its Hopper architecture. New products like the H200 and Spectrum-X (ethernet) are beginning to ramp. At the midpoint, in F1Q25, the team sees Q/Q growth led by datacenter. GM is expected to increase to 77.0% on favorable cost but should normalize to 75% in the Jul-Qtr. OpEx is guided to $2.5B. Implied EPS is $5.32, well-above consensus of $4.93.
- **Datacenter revenue continues to accelerate in CY24; demand expected to outstrip supply through CY24**. Demand was strong for AI inference and training. The team estimates 40% of datacenter revenues in CY23 was for AI inference. The team continues to see strong growth in the Apr-Qtr ( we estimate 10-15% Q/Q) and beyond. More importantly, the team noted that demand will continue to outpace supply growth through CY24, allaying fears of inventory build/correction in the 2H of the year. The team feels constructive on the sustained growth into CY25+ driven by transition to accelerated computing, proliferation of generative AI applications, and build-out of sovereign AI.
- **Increasing forward estimates and increasing our Dec-24 PT to $850**. We increase our forward estimates and increase our PT to $850 (from our prior PT of $650). Our Dec-24 PT assumes that NVIDIA trades at 30-35x applied to ~$29.00 of earnings power in CY25, discounted back to CY24 assuming a 12% discount rate. Our outlook of $29.00 of earnings power assumes the team will drive its earnings power by 30%+ per year over the next few years led by the continued strong datacenter growth (30-40% CAGR), monetizing an incremental ~$14B of auto revenue pipeline and an incremental $2-3B of software, licensing, and subscription revenues over the next 3-4 years. With our view of significant upside potential in shares, we are Overweight NVDA.

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**Table 1: NVIDIA F4Q24 (Jan-Qtr) Earnings and F1Q25 (Apr-Qtr) Outlook**

$ in millions, except per share data

| | F4Q24 (Jan-Q) | | | | F1Q25E (Apr-Q) | |
|---|---|---|---|---|---|---|
| | Actual | JPM Est | Diff | Consensus | Guidance | Consensus |
| **Revenue ($M)** | $22,103 | $20,000 | $2,103 | $20,412 | $24,000 | $21,897 |
| Q/Q Change | 22.0% | 10.4% | 11.6% | | | |
| **Gross Margin (excl SBC)** | 76.7% | 75.5% | 1.2% | 75.4% | 77.0% | 75.5% |
| **Op Margin (excl SBC)** | 66.2% | 63.7% | 2.5% | | | |
| **Proforma EPS (excl SBC)** | $5.16 | $4.33 | $0.83 | $4.60 | $5.32 | $4.93 |

Source: Company reports and J.P. Morgan estimates

**Table 2: Reporting Segment Summary for F4Q24 (vs. F3Q24)**

$ in millions

| | F3Q24 | F4Q24 | Q/Q | Y/Y | % of Revs |
|---|---|---|---|---|---|
| **Graphic** | $3,475 | $4,205 | 21% | 77% | 19% |
| **Compute & Networking** | $14,645 | $17,898 | 22% | 387% | 81% |
| **Total** | **$18,120** | **$ 22,103** | **22%** | **265%** | |

Source: Company reports

**Table 3: End Market Segment Summary for F4Q24 (vs. F3Q24)**

$ in millions

| | F3Q24 | F4Q24 | Q/Q | Y/Y | % of Revs |
|---|---|---|---|---|---|
| **PC OEM** | $73 | $90 | 23% | 7% | 0% |
| **PC Gaming** | $2,856 | $2,865 | 0% | 56% | 13% |
| **Pro Vis** | $416 | $463 | 11% | 105% | 2% |
| **Datacenter** | $14,514 | $18,404 | 27% | 409% | 83% |
| **Automotive** | $261 | $281 | 8% | -4% | 1% |
| **Total** | **$18,120** | **$22,103** | **22%** | **265%** | |

Source: Company reports

## Balance Sheet and Cash Flow

During the Jan-Qtr, the company generated cash flow from operations of $11.5B (vs. $7.06B in the Oct-Qtr) and exited the quarter with $25.9B in cash, cash equivalents, and marketable securities (vs. $18.3B in the Oct-Qtr). Inventory increased to $5.3B in the Jan-Qtr. In F4Q24, NVIDIA returned $99 million in cash dividend and repurchased $2.7B in shares.

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# Appendix I: Comp and Group Valuation

**Table 4: Semiconductor Comp and Group Valuation Table**

| | JPM | Market | 2/21/24 | Non-GAAP EPS | | P/E | | Revenue | | P/S | | Non-GAAP EPS | | Sales | | P/E | | P/S | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Rating | Cap | Price | C23E | C24E | C23E | C24E | C23E | C24E | C23E | C24E | C23E | C24E | C23E | C24E | C23E | C24E | C23E | C24E |
| **Harlan Sur, Lead Coverage** | | | | | | | | | | | | | | | | | | | |
| phone: 415-315-6700, email: harlan.sur@jpmchase.com | | | | | | | | | | | | | | | | | | | |
| **PC Semiconductors** | | | | | | | | | | | | | | | | | | | |
| INTC | UW | $185,182 | $43.47 | $1.05 | $1.32 | 41.4 | 32.8 | $54,228 | $57,853 | 3.4 | 3.2 | $1.05 | $1.33 | $54,228 | $57,748 | 41.4 | 32.7 | 3.4 | 3.2 |
| NVDA | OW | $1,680,053 | $674.72 | $12.96 | $22.70 | 52.1 | 29.7 | $60,922 | ####### | 27.6 | 16.1 | $11.54 | $22.00 | $55,571 | $96,500 | 58.5 | 30.7 | 30.2 | 17.4 |
| AMD | N | $267,464 | $164.29 | $2.65 | $3.50 | 62.0 | 46.9 | $22,680 | $25,556 | 11.8 | 10.5 | $2.65 | $3.59 | $22,680 | $25,803 | 62.0 | 45.8 | 11.8 | 10.4 |
| **Memory** | | | | | | | | | | | | | | | | | | | |
| MU | OW | $89,639 | $81.49 | N/A | $1.88 | N/A | 43.4 | $16,181 | $25,211 | 5.5 | 3.6 | ($4.81) | $2.53 | $16,724 | $26,460 | (16.9) | 32.2 | 5.4 | 3.4 |
| WDC | NR | $17,352 | $53.39 | N/A | $3.24 | N/A | 16.5 | $11,257 | $14,753 | 1.5 | 1.2 | ($5.80) | $3.71 | $11,257 | $15,088 | (9.2) | 14.4 | 1.5 | 1.2 |
| **Enterprise/Networking/Datacenter Semiconductors** | | | | | | | | | | | | | | | | | | | |
| MRVL | OW | $56,518 | $65.52 | $1.51 | $2.10 | 43.4 | 31.2 | $5,501 | $6,197 | 10.3 | 9.1 | $1.51 | $1.97 | $5,500 | $5,955 | 43.4 | 33.3 | 10.3 | 9.5 |
| AVGO | OW | $524,121 | $1,227.45 | $41.52 | $47.90 | 29.6 | 25.6 | $38,362 | $51,924 | 13.7 | 10.1 | $42.31 | $49.14 | $37,598 | $50,093 | 29.0 | 25.0 | 13.9 | 10.5 |
| **Mobile Devices** | | | | | | | | | | | | | | | | | | | |
| SWKS | N | $16,667 | $103.52 | $7.92 | $7.47 | 13.1 | 13.9 | $4,645 | $4,619 | 3.6 | 3.6 | $7.92 | $7.11 | $4,645 | $4,516 | 13.1 | 14.6 | 3.6 | 3.7 |
| QRVO | UW | $10,870 | $111.89 | $5.09 | $7.79 | 22.0 | 14.4 | $3,461 | $4,087 | 3.1 | 2.7 | $5.09 | $7.13 | $3,461 | $4,058 | 22.0 | 15.7 | 3.1 | 2.7 |
| **IoT** | | | | | | | | | | | | | | | | | | | |
| SLAB | OW | $4,316 | $135.52 | $1.65 | N/A | 82.1 | N/A | $782 | $660 | 5.5 | 6.5 | $1.70 | ($0.43) | $782 | $683 | 79.9 | N/A | 5.5 | 6.3 |
| SYNA | OW | $4,105 | $104.73 | $3.47 | $2.67 | 30.1 | 39.2 | $1,029 | $1,015 | 4.0 | 4.0 | $3.47 | $2.96 | $1,029 | $1,034 | 30.2 | 35.3 | 4.0 | 4.0 |
| **Analog/Microcontrollers** | | | | | | | | | | | | | | | | | | | |
| TXN | OW | $150,133 | $164.08 | $7.07 | $5.45 | 23.2 | 30.1 | $17,519 | $16,071 | 8.6 | 9.3 | $7.07 | $5.37 | $17,519 | $15,738 | 23.2 | 30.6 | 8.6 | 9.5 |
| ADI | OW | $96,616 | $193.72 | $9.06 | $6.22 | 21.4 | 31.1 | $11,569 | $9,193 | 8.4 | 10.5 | $9.40 | $6.08 | $11,814 | $9,217 | 20.6 | 31.9 | 8.2 | 10.5 |
| NXPI | N | $61,253 | $235.32 | $14.03 | $13.85 | 16.8 | 17.0 | $13,276 | $13,268 | 4.6 | 4.6 | $14.01 | $13.54 | $13,276 | $13,133 | 16.8 | 17.4 | 4.6 | 4.7 |
| MCHP | OW | $45,622 | $83.48 | $5.98 | $2.56 | 13.9 | 32.6 | $8,541 | $5,543 | 5.3 | 8.2 | $5.98 | $2.65 | $8,541 | $5,666 | 14.0 | 31.5 | 5.3 | 8.1 |
| **Diversified/Consumer/Standard Components/Other** | | | | | | | | | | | | | | | | | | | |
| ON | N | $34,114 | $77.62 | $5.15 | $4.33 | 15.1 | 17.9 | $8,253 | $7,592 | 4.1 | 4.5 | $5.16 | $4.30 | $8,253 | $7,534 | 15.0 | 18.1 | 4.1 | 4.5 |
| MTSI | N | $6,126 | $84.74 | $2.47 | $2.95 | 34.3 | 28.7 | $625 | $768 | 9.8 | 8.0 | $2.47 | $2.71 | $625 | $768 | 34.3 | 31.3 | 9.8 | 8.0 |
| **Foundries** | | | | | | | | | | | | | | | | | | | |
| GFS | N | $29,738 | $53.39 | $2.24 | $1.40 | 23.8 | 38.1 | $7,392 | $6,885 | 4.0 | 4.3 | $2.24 | $1.35 | $7,392 | $6,793 | 23.8 | 39.6 | 4.0 | 4.4 |
| **Semiconductor Capital Equipment** | | | | | | | | | | | | | | | | | | | |
| AMAT | OW | $159,306 | $190.33 | $8.15 | $8.94 | 23.4 | 21.3 | $26,485 | $28,100 | 6.0 | 5.7 | $8.12 | $8.33 | $26,498 | $27,049 | 23.4 | 22.9 | 6.0 | 5.9 |
| LRCX | OW | $119,253 | $901.93 | $27.34 | $31.47 | 33.0 | 28.7 | $14,317 | $15,597 | 8.3 | 7.6 | $27.34 | $31.17 | $14,317 | $15,804 | 33.0 | 28.9 | 8.3 | 7.5 |
| KLAC | OW | $88,827 | $651.92 | $22.78 | $24.98 | 28.6 | 26.1 | $9,671 | $10,150 | 9.2 | 8.8 | $22.79 | $24.31 | $9,671 | $10,084 | 28.6 | 26.8 | 9.2 | 8.8 |
| **Chip Design Automation Software** | | | | | | | | | | | | | | | | | | | |
| ARM | OW | $129,422 | $123.39 | $0.91 | $1.25 | 135.2 | 98.4 | $2,938 | $3,523 | 44.1 | 36.7 | $1.06 | $1.31 | $3,056 | $3,655 | 116.8 | 94.2 | 42.4 | 35.4 |
| CDNS | N | $79,209 | $290.76 | $5.15 | $5.92 | 56.5 | 49.1 | $4,090 | $4,580 | 19.4 | 17.3 | $5.15 | $5.93 | $4,090 | $4,588 | 56.5 | 49.0 | 19.4 | 17.3 |
| SNPS | OW | $84,435 | $543.57 | $12.01 | $13.67 | 45.3 | 39.8 | $6,126 | $6,823 | 13.8 | 12.4 | $11.84 | $13.59 | $6,035 | $6,710 | 45.9 | 40.0 | 14.0 | 12.6 |
| **Large Cap Semi Average** | | | | | | **31.7** | **29.1** | | | **9.4** | **8.2** | | | | | **32.2** | **29.3** | **9.7** | **8.4** |
| **Small-Mid Cap Semi Average** | | | | | | **38.4** | **20.3** | | | **5.6** | **5.4** | | | | | **23.8** | **21.7** | **5.7** | **5.1** |
| **Semi Group Average (ex-outliers)** | | | | | | **24.8** | **26.1** | | | **6.6** | **6.5** | | | | | **24.7** | **26.8** | **6.6** | **6.6** |
| **SOX Index** | | | **4,446** | **114** | **164** | **39.2** | **27.1** | | | **6.8** | **6.4** | | | | | **39.2** | **27.1** | **6.8** | **6.4** |
| **S&P500** | | | **4,982** | **240** | **270** | **20.7** | **18.5** | | | **2.7** | **2.5** | | | | | **20.7** | **18.5** | **2.7** | **2.5** |

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close 02/21/2024

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# Appendix II: Financial Tables

## Table 5: NVIDIA Income Statement

$ in millions, except per share data

| $M | Apr-21 | Jul-21 | Oct-21 | Jan-22 | C21 | Apr-22 | Jul-22 | Oct-22 | Jan-23 | C22 | Apr-23 | Jul-23 | Oct-23 | Jan-24 | C23 | Apr-24 | Jul-24 | Oct-24 | Jan-25 | C24 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| FY end: Jan. | **1Q22** | **2Q22** | **3Q22** | **4Q22** | **F22** | **1Q23** | **2Q23** | **3Q23** | **4Q23** | **F23** | **1Q24** | **2Q24** | **3Q24** | **4Q24** | **F24** | **1Q25E** | **2Q25E** | **3Q25E** | **4Q25E** | **F25E** |
| Total revenue | 5,661 | 6,507 | 7,103 | 7,643 | **26,914** | 8,288 | 6,704 | 5,931 | 6,051 | **26,974** | 7,192 | 13,507 | 18,120 | 22,103 | **60,922** | 24,000 | 25,461 | 26,693 | 27,988 | **104,142** |
| % Change Y/Y | 83.8% | 68.3% | 50.3% | 52.8% | **61.4%** | 46.4% | 3.0% | -16.5% | -20.8% | **0.2%** | -13.2% | 101.5% | 205.5% | 265.3% | **125.9%** | 233.7% | 88.5% | 47.3% | 26.6% | **70.9%** |
| % Change Q/Q | 13.2% | 14.9% | 9.2% | 7.6% | | 8.4% | -19.1% | -11.5% | 2.0% | | 18.9% | 87.8% | 34.2% | 22.0% | | 8.6% | 6.1% | 4.8% | 4.8% | |
| Cost of goods sold | 2,032 | 2,292 | 2,472 | 2,644 | **9,440** | 2,857 | 3,789 | 2,754 | 2,218 | **11,618** | 2,544 | 4,045 | 4,720 | 5,312 | **16,621** | 5,688 | 6,543 | 6,780 | 7,081 | **26,093** |
| % Change Y/Y | 88.8% | 44.1% | 40.0% | 43.2% | **50.3%** | 40.6% | 65.3% | 11.4% | -16.1% | **23.1%** | -11.0% | 6.8% | 71.4% | 139.5% | **43.1%** | 123.6% | 61.8% | 43.6% | 33.3% | **57.0%** |
| % Change Q/Q | 10.1% | 12.8% | 7.9% | 7.0% | | 8.1% | 32.6% | -27.3% | -19.5% | | 14.7% | 59.0% | 16.7% | 12.5% | | 7.1% | 15.0% | 3.6% | 4.4% | |
| Non-GAAP Gross margin (ex SBC) | 66.2% | 66.7% | 67.0% | 67.0% | **66.8%** | 67.1% | 45.9% | 56.1% | 66.1% | **57.4%** | 66.8% | 71.2% | 75.0% | 76.7% | **72.9%** | 77.0% | 75.0% | 75.2% | 75.3% | **75.1%** |
| GAAP Gross margin | 64.1% | 64.8% | 65.2% | 65.4% | **64.9%** | 65.5% | 43.5% | 53.6% | 63.3% | **56.9%** | 64.6% | 70.1% | 74.0% | 76.0% | **72.7%** | 76.3% | 74.3% | 74.6% | 74.7% | **74.9%** |
| R&D | 1,153 | 1,245 | 1,403 | 1,466 | **5,267** | 1,618 | 1,824 | 1,945 | 1,951 | **7,338** | 1,875 | 2,040 | 2,294 | 2,465 | **8,674** | 2,748 | 2,803 | 2,860 | 2,917 | **11,328** |
| % Total revenue | 20.4% | 19.1% | 19.8% | 19.2% | **19.6%** | 19.5% | 27.2% | 32.8% | 32.2% | **27.2%** | 26.1% | 15.1% | 12.7% | 11.2% | **14.2%** | 11.5% | 11.0% | 10.7% | 10.4% | **10.9%** |
| SG&A (Adj.) | 440 | 454 | 487 | 493 | **1,874** | 530 | 536 | 561 | 533 | **2,160** | 583 | 609 | 673 | 693 | **2,558** | 731 | 746 | 761 | 799 | **3,036** |
| % Total revenue | 7.8% | 7.0% | 6.9% | 6.5% | **7.0%** | 6.4% | 8.0% | 9.5% | 8.8% | **8.0%** | 8.1% | 4.5% | 3.7% | 3.1% | **4.2%** | 3.0% | 2.9% | 2.8% | 2.9% | **2.9%** |
| Operating income | 2,036 | 2,516 | 2,741 | 3,040 | **10,333** | 3,283 | 555 | 671 | 1,349 | **5,858** | 2,190 | 6,813 | 10,433 | 13,633 | **33,069** | 14,833 | 15,368 | 16,293 | 17,191 | **63,685** |
| % Total revenue | 36.0% | 38.7% | 38.6% | 39.8% | **38.4%** | 39.6% | 8.3% | 11.3% | 22.3% | **21.7%** | 30.5% | 50.4% | 57.6% | 61.7% | **54.3%** | 61.8% | 60.4% | 61.0% | 61.4% | **61.2%** |
| Opex GAAP | 1673 | 1771 | 1960 | 2029 | | 3563 | 2416 | 2576 | 2576 | | 2508 | 2662 | 2983 | 3176 | | 3480 | 3549 | 3620 | 3715 | |
| Opex Non-GAAP | 1189 | 1266 | 1375 | 1447 | **5,277** | 1608 | 1749 | 1793 | 1775 | **6,925** | 1750 | 1838 | 2026 | 2210 | **7,824** | 2532 | 2601 | 2672 | 2767 | **10,572** |
| Opm % ex options | 43.5% | 45.8% | 46.5% | 47.0% | **47.2%** | 46.6% | 18.0% | 23.9% | 34.5% | **31.8%** | 40.7% | 56.7% | 63.0% | 66.2% | **60.1%** | 65.9% | 64.3% | 64.8% | 65.0% | **65.0%** |
| Interest/Other Expense | (45) | (49) | (52) | (52) | **(198)** | (45) | (16) | 24 | 43 | **6** | 84 | 120 | 175 | 232 | **611** | 250 | 250 | 250 | 250 | **1,000** |
| Pretax income | 1,991 | 2,467 | 2,689 | 2,988 | **10,135** | 3,238 | 539 | 695 | 1,392 | **5,864** | 2,274 | 6,933 | 10,608 | 13,865 | **33,680** | 15,083 | 15,618 | 16,543 | 17,441 | **64,685** |
| % Total revenue | 35.2% | 37.9% | 37.9% | 39.1% | **37.7%** | 39.1% | 8.0% | 11.7% | 23.0% | **21.7%** | 31.6% | 51.3% | 58.5% | 62.7% | **55.3%** | 62.8% | 61.3% | 62.0% | 62.3% | **62.1%** |
| Income tax | 132 | 20 | 174 | (138) | **188** | 187 | (181) | (67) | (125) | **(186)** | 166 | 793 | 1,279 | 1,821 | **4,059** | 2,564 | 2,655 | 2,812 | 2,965 | **10,997** |
| Tax rate | 6.6% | 0.8% | 6.5% | -4.6% | **1.9%** | 5.8% | -33.6% | -9.6% | -9.0% | **-3.2%** | 7.3% | 11.4% | 12.1% | 13.1% | **12.1%** | 17.0% | 17.0% | 17.0% | 17.0% | **17.0%** |
| Net income (non-GAAP) | 2,313 | 2,623 | 2,973 | 3,350 | **11,259** | 3,443 | 1,292 | 1,456 | 2,174 | **8,365** | 2,713 | 6,740 | 10,020 | 12,839 | **32,312** | 13,248 | 13,692 | 14,460 | 15,206 | **56,606** |
| % Total revenue | 32.8% | 37.6% | 35.4% | 40.9% | **37.0%** | 36.8% | 10.7% | 12.8% | 25.1% | **22.4%** | 29.3% | 45.5% | 51.5% | 54.5% | **48.6%** | 52.2% | 50.9% | 51.4% | 51.7% | **51.6%** |
| Avg. No. of Diluted Shr | 2,528.0 | 2,532.0 | 2,538.0 | 2,545.0 | **2,535.8** | 2,537.0 | 2,516.0 | 2,499.0 | 2,477.0 | **2,507.3** | 2,490.0 | 2,499.0 | 2,494.0 | 2,490.0 | **2,493.3** | 2,491.0 | 2,492.0 | 2,494.0 | 2,496.0 | **2,493.3** |
| Avg. No. of Diluted Shr (non-GAAP) | 2,528.0 | 2,532.0 | 2,538.0 | 2,545.0 | **2,535.8** | 2,537.0 | 2,516.0 | 2,499.0 | 2,477.0 | **2,507.3** | 2,490.0 | 2,499.0 | 2,494.0 | 2,490.0 | **2,493.3** | 2,491.0 | 2,492.0 | 2,494.0 | 2,496.0 | **2,493.3** |
| Convertible Adjustment | | | | | | | | | | | | | | | | | | | | |
| **EPS (Non-GAAP)** | **$0.91** | **$1.04** | **$1.17** | **$1.32** | **$4.44** | **$1.36** | **$0.51** | **$0.58** | **$0.88** | **$3.34** | **$1.09** | **$2.70** | **$4.02** | **$5.16** | **$12.96** | **$5.32** | **$5.49** | **$5.80** | **$6.09** | **$22.70** |
| % Change Y/Y | 103.4% | 89.9% | 61.0% | 69.8% | **77.5%** | 48.3% | -50.4% | -50.3% | -33.3% | **-24.9%** | -19.7% | 425.2% | 589.6% | 487.5% | **288.4%** | 388.1% | 103.7% | 44.3% | 18.1% | **75.2%** |
| % Change Q/Q | 18.0% | 13.2% | 13.1% | 12.4% | | 3.1% | -62.2% | 13.5% | 50.6% | | 24.1% | 147.5% | 49.0% | 28.3% | | 3.1% | 3.3% | 5.5% | 5.1% | |

Source: Company reports and J.P. Morgan estimates

## Table 6: NVIDIA Balance Sheet

$ in millions, except per share data

| | Jan'21 | Apr'21 | Jul'21 | Oct'21 | Jan'22 | Apr'22 | Jul'22 | Oct'22 | Jan'23 | Apr'23 | Jul'23 | Oct'23 | Jan'24 | Apr'24 | Jul'24 | Oct'24 | Jan'25 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| FY End: Jan. | **4Q21** | **1Q22** | **2Q22** | **3Q22** | **4Q22** | **1Q23** | **2Q23** | **3Q23** | **4Q23** | **1Q24** | **2Q24** | **3Q24** | **4Q24** | **1Q25E** | **2Q25E** | **3Q25E** | **4Q25E** |
| **Assets** | | | | | | | | | | | | | | | | | |
| Cash and ST investment | 11,561 | 12,667 | 19,654 | 19,298 | 21,208 | 20,338 | 17,037 | 13,143 | 13,296 | 15,320 | 16,023 | 18,281 | 25,984 | 32,053 | 43,698 | 57,230 | 72,495 |
| Accounts receivable | 2,429 | 3,024 | 3,586 | 3,954 | 4,650 | 5,438 | 5,317 | 4,908 | 3,827 | 4,080 | 7,066 | 8,309 | 9,999 | 13,119 | 13,775 | 14,552 | 14,598 |
| Inventories | 1,826 | 1,992 | 2,114 | 2,233 | 2,605 | 3,163 | 3,889 | 4,454 | 5,159 | 4,611 | 4,319 | 4,779 | 5,282 | 9,051 | 10,051 | 10,144 | 9,945 |
| Prepaid and other | 239 | 444 | 452 | 321 | 366 | 636 | 1,175 | 718 | 791 | 872 | 1,389 | 1,289 | 3,080 | 3,080 | 3,080 | 3,080 | 3,080 |
| **Total current assets** | **16,055** | **18,127** | **25,806** | **25,806** | **28,829** | **29,575** | **27,418** | **23,223** | **23,073** | **24,883** | **28,797** | **32,658** | **44,345** | **57,303** | **70,604** | **85,006** | **100,118** |
| PP&E, net | 2,149 | 2,268 | 2,364 | 2,509 | 2,778 | 2,916 | 3,233 | 3,774 | 3,807 | 3,740 | 3,799 | 3,844 | 3,914 | 4,133 | 4,352 | 4,571 | 4,790 |
| Deposits and other | 3,657 | 3,595 | 3,809 | 5,561 | 5,892 | 6,145 | 6,417 | 7,269 | 8,254 | 9,866 | 11,134 | 11,965 | 11,927 | 11,927 | 11,927 | 11,927 | 11,927 |
| Goodwill | 4,193 | 4,193 | 4,193 | 4,302 | 4,349 | 4,365 | 4,372 | 4,372 | 4,372 | 4,430 | 4,430 | 4,430 | 4,430 | 4,430 | 4,430 | 4,430 | 4,430 |
| Intangible assets | 2,737 | 2,613 | 2,478 | 2,454 | 2,339 | 2,211 | 2,036 | 1,850 | 1,676 | 1,541 | 1,395 | 1,251 | 1,112 | 1,112 | 1,112 | 1,112 | 1,112 |
| **Total assets** | **28,791** | **30,796** | **38,650** | **40,632** | **44,187** | **45,212** | **43,476** | **40,488** | **41,182** | **44,460** | **49,555** | **54,148** | **65,728** | **78,905** | **92,425** | **107,046** | **122,377** |
| **Liabilities** | | | | | | | | | | | | | | | | | |
| Accounts payable | 1,201 | 1,218 | 1,474 | 1,664 | 1,783 | 1,999 | 2,421 | 1,491 | 1,193 | 1,141 | 1,929 | 2,380 | 2,699 | 3,058 | 3,518 | 3,645 | 3,807 |
| Accrued liabilities | 1,725 | 1,787 | 1,974 | 1,948 | 2,552 | 3,563 | 3,903 | 4,115 | 4,120 | 4,869 | 7,156 | 5,472 | 6,682 | 6,682 | 6,682 | 6,682 | 6,682 |
| Short-term Debt | 999 | 999 | 1,000 | 0 | 0 | 0 | 1,249 | 1,249 | 1,250 | 1,250 | 1,249 | 1,249 | 1,250 | 1,250 | 1,250 | 1,250 | 1,250 |
| Deferred revenue | | | | | | | | | | | | | | | | | |
| **Total current liabilities** | **3,925** | **4,004** | **4,448** | **3,612** | **4,335** | **5,562** | **7,573** | **6,855** | **6,563** | **7,260** | **10,334** | **9,101** | **10,631** | **10,990** | **11,450** | **11,577** | **11,739** |
| Capital lease obligations | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Long-term Debt | 5,964 | 5,964 | 10,943 | 10,944 | 10,946 | 10,947 | 9,700 | 9,701 | 9,703 | 9,704 | 8,456 | 8,457 | 8,459 | 8,459 | 8,459 | 8,459 | 8,459 |
| Long-term liabilities | 2,009 | 2,054 | 2,112 | 2,278 | 2,294 | 2,383 | 2,352 | 2,583 | 2,815 | 2,976 | 3,264 | 3,325 | 3,660 | 3,660 | 3,660 | 3,660 | 3,660 |
| **Total liabilities** | **11,898** | **12,022** | **17,503** | **16,834** | **17,575** | **18,892** | **19,625** | **19,139** | **19,081** | **19,940** | **22,054** | **20,883** | **22,750** | **23,109** | **23,569** | **23,696** | **23,858** |
| **Total stockholders' equity** | **16,893** | **18,774** | **21,147** | **23,798** | **26,612** | **26,320** | **23,851** | **21,349** | **22,101** | **24,520** | **27,501** | **33,265** | **42,978** | **55,796** | **68,856** | **83,349** | **98,520** |
| **Total liability and stockholders' equity** | **28,791** | **30,796** | **38,650** | **40,632** | **44,187** | **45,212** | **43,476** | **40,488** | **41,182** | **44,460** | **49,555** | **54,148** | **65,728** | **78,905** | **92,425** | **107,046** | **122,377** |

Source: Company reports and J.P. Morgan estimates

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## Table 7: NVIDIA Cash Flow Statement

$ in millions

| | Apr'21 | Jul'21 | Oct'21 | Jan'22 | Apr'22 | Jul'22 | Oct'22 | Jan'23 | Apr'23 | Jul'23 | Oct'23 | Jan'24 | Apr'24 | Jul'24 | Oct'24 | Jan'25 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| FY End: Jan. | **1Q22** | **2Q22** | **3Q22** | **4Q22** | **1Q23** | **2Q23** | **3Q23** | **4Q23** | **1Q24** | **2Q24** | **3Q24** | **4Q24** | **1Q25E** | **2Q25E** | **3Q25E** | **4Q25E** |
| **Net income (GAAP)** | 1,912 | 2,374 | 2,464 | 3,003 | 1,618 | 656 | 680 | 1,414 | 2,043 | 6,188 | 9,243 | 12,285 | 12,519 | 12,963 | 13,731 | 14,476 |
| Depreciation and amortization | 281 | 286 | 298 | 309 | 334 | 378 | 406 | 426 | 384 | 365 | 372 | 387 | 106 | 106 | 106 | 106 |
| Stock-based compensation | 429 | 465 | 559 | 551 | 578 | 648 | 745 | 738 | 735 | 842 | 979 | 993 | 1,116 | 1,116 | 1,116 | 1,116 |
| Allowance for doubtful accounts | | | | | | | | | | | | | | | | |
| Excess tax benefits from stock comp | | | | | | | | | | | | | | | | |
| Other adjustments | (112) | 18 | 31 | (151) | 851 | (5) | (34) | (617) | (1,155) | (69) | 3 | (447) | | | | |
| **Change in working capital** | | | | | | | | | | | | | | | | |
| Change in Receivables | (595) | (563) | (366) | (692) | (788) | 120 | (410) | 1,081 | (252) | (2,986) | (1,243) | (1,690) | (3,120) | (657) | (777) | (46) |
| Changes in Inventory | (159) | (123) | (118) | (374) | (560) | (725) | (563) | (706) | 566 | 296 | (457) | (503) | (3,769) | (999) | (93) | 199 |
| Prepaid expenses and other assets | 2 | 16 | (1,575) | (158) | (1,261) | (293) | 247 | (210) | (215) | (376) | 254 | (1,184) | 0 | 0 | 0 | 0 |
| Deposits and other assets | | | | | | | | | | | | | | | | |
| Accounts payable | 70 | 209 | 15 | 183 | 255 | 304 | (917) | (193) | 11 | 777 | 461 | 281 | (359) | (460) | (127) | (162) |
| Accrued liabilities and other liabilities | (1) | 133 | (62) | 423 | 634 | 633 | (92) | 166 | 689 | 1,986 | (1,722) | 1,072 | 0 | 0 | 0 | 0 |
| Other liabilities | 47 | (133) | 273 | (61) | 70 | (446) | 330 | 150 | 105 | (675) | (557) | 305 | | | | |
| **Cash Flow from operations** | **1,874** | **2,682** | **1,519** | **3,033** | **1,731** | **1,270** | **392** | **2,249** | **2,911** | **6,348** | **7,333** | **11,499** | **6,493** | **12,069** | **13,956** | **15,690** |
| | | | | | | | | | | | | | | | | |
| Purchases of marketable securities | (4,470) | (4,798) | 2,756 | | (3,932) | (3,644) | 5,884 | | (2,801) | (2,542) | 2,891 | | | | | |
| Sales and maturities of marketable securities | 3,498 | 2,443 | (6,752) | (1,243) | 6,976 | 5,738 | (2,188) | 500 | 2,512 | 2,598 | (5,345) | (5,743) | | | | |
| Purchases of PP&E | (298) | (183) | (221) | (273) | (361) | (433) | (530) | (509) | (248) | (289) | (278) | (253) | (325) | (325) | (325) | (325) |
| Acquisition, net of cash acquired | 0 | 0 | (203) | (60) | (36) | (13) | 0 | 0 | (83) | 0 | 0 | 0 | | | | |
| Other Investing Activities | (2) | 5 | (18) | (11) | (35) | (30) | (18) | 5 | (221) | (214) | (437) | (113) | | | | |
| **Cash flow from investments** | **(1,272)** | **(2,533)** | **(4,438)** | **(1,587)** | **2,612** | **1,618** | **3,148** | **(4)** | **(841)** | **(447)** | **(3,169)** | **(6,109)** | **(325)** | **(325)** | **(325)** | **(325)** |
| | | | | | | | | | | | | | | | | |
| Common stock issued under employee stock plans | 126 | 2 | 149 | | 204 | 1 | 143 | | 246 | 1 | 156 | | 0 | 0 | 0 | 0 |
| Issue/Repurchase of common stock | (477) | | | | (1,996) | (3,345) | (3,485) | (1,212) | 0 | (3,067) | (3,806) | (2,660) | | | | 0 |
| Principal payments on capital leases | | | (1,008) | | | | 0 | | | | 0 | | | | | |
| Debt proceeds/borrowings | 0 | 4,985 | | (26) | 0 | 0 | | (7) | 0 | (1,250) | | (29) | | | | |
| Excess tax benefits from stock comp | | (365) | (440) | (618) | | (305) | (294) | (339) | | (672) | (764) | (841) | | | | |
| Dividends paid | (99) | (100) | (100) | (100) | (100) | (100) | (100) | (98) | (99) | (99) | (99) | (99) | (99) | (99) | (99) | (99) |
| Other financing activities | (21) | (21) | (22) | | (554) | (13) | (17) | | (527) | (11) | (14) | | | | | |
| **Cash flow from financing** | **(471)** | **4,501** | **(1,421)** | **(744)** | **(2,446)** | **(3,762)** | **(3,753)** | **(1,656)** | **(380)** | **(5,098)** | **(4,527)** | **(3,629)** | **(99)** | **(99)** | **(99)** | **(99)** |
| | | | | | | | | | | | | | | | | |
| **Cash at beginning of period** | **847** | **978** | **5,628** | **1,288** | **1,990** | **3,887** | **3,013** | **2,800** | **3,389** | **5,079** | **5,882** | **5,519** | **7,280** | **13,349** | **24,994** | **38,526** |
| Net change in cash and equivalents | 131 | 4,650 | (4,340) | 702 | 1,897 | (874) | (213) | 589 | 1,690 | 803 | (363) | 1,761 | 6,069 | 11,645 | 13,532 | 15,266 |
| **Cash at end of period** | **978** | **5,628** | **1,288** | **1,990** | **3,887** | **3,013** | **2,800** | **3,389** | **5,079** | **5,882** | **5,519** | **7,280** | **13,349** | **24,994** | **38,526** | **53,791** |

Source: Company reports and J.P. Morgan estimate

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# Investment Thesis, Valuation and Risks

## NVIDIA Corporation *(Overweight; Price Target: $850.00)*

**Investment Thesis**

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

**Valuation**

Our Dec-24 PT assumes that NVIDIA trades at 30-35x applied to ~$29.00 of earnings power in CY25E, discounted back to CY24 assuming a 12% discount rate. Our outlook of $29.00 of earnings power assumes the team will drive its earnings power by 30%+ per year over the next few years led by the continued strong datacenter growth (30-40% CAGR), monetizing an incremental ~$14B of auto revenue pipeline and an incremental $1-2B of software, licensing, and subscription revenues over the next 3-4 years.

**Risks to Rating and Price Target**

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

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# NVIDIA Corporation: Summary of Financials

| Income Statement - Annual | FY23A | FY24A | FY25E | FY26E | FY27E |
|---|---|---|---|---|---|
| **Revenue** | **26,974** | **60,922** | **104,142** | **-** | **-** |
| COGS | (11,618) | (16,621) | (26,093) | - | - |
| **Gross profit** | **15,356** | **44,301** | **78,050** | **-** | **-** |
| SG&A | (2,160) | (2,558) | (3,036) | - | - |
| **Adj. EBITDA** | **6,282** | **33,493** | **64,109** | **-** | **-** |
| D&A | (424) | (424) | (424) | - | - |
| **Adj. EBIT** | **5,858** | **33,069** | **63,685** | **-** | **-** |
| Net Interest | - | - | - | - | - |
| **Adj. PBT** | **5,864** | **33,680** | **64,685** | **-** | **-** |
| Tax | 186 | (4,059) | (10,997) | - | - |
| Minority Interest | - | - | - | - | - |
| **Adj. Net Income** | **8,365** | **32,312** | **56,606** | **-** | **-** |
| Reported EPS | 1.74 | 11.94 | 21.34 | - | - |
| **Adj. EPS** | **3.34** | **12.96** | **22.70** | **-** | **-** |
| **DPS** | **0.68** | **0.68** | **0.68** | **-** | **-** |
| Payout ratio | 39.0% | 5.7% | 3.2% | - | - |
| Shares outstanding | 2,507 | 2,493 | 2,493 | - | - |

| Balance Sheet & Cash Flow Statement | FY23A | FY24A | FY25E | FY26E | FY27E |
|---|---|---|---|---|---|
| Cash and cash equivalents | 13,296 | 25,984 | 72,495 | - | - |
| Accounts receivable | 3,827 | 9,999 | 14,598 | - | - |
| Inventories | 5,159 | 5,282 | 9,945 | - | - |
| Other current assets | 791 | 3,080 | 3,080 | - | - |
| **Current assets** | **23,073** | **44,345** | **100,118** | **-** | **-** |
| PP&E | 3,807 | 3,914 | 4,790 | - | - |
| LT investments | - | - | - | - | - |
| Other non current assets | 14,302 | 17,469 | 17,469 | - | - |
| **Total assets** | **41,182** | **65,728** | **122,377** | **-** | **-** |
| Short term borrowings | 1,250 | 1,250 | 1,250 | - | - |
| Payables | 1,193 | 2,699 | 3,807 | - | - |
| Other short term liabilities | 4,120 | 6,682 | 6,682 | - | - |
| **Current liabilities** | **6,563** | **10,631** | **11,739** | **-** | **-** |
| Long-term debt | 9,703 | 8,459 | 8,459 | - | - |
| Other long term liabilities | 2,815 | 3,660 | 3,660 | - | - |
| **Total liabilities** | **19,081** | **22,750** | **23,858** | **-** | **-** |
| Shareholders' equity | 22,101 | 42,978 | 98,520 | - | - |
| Minority interests | - | - | - | - | - |
| **Total liabilities & equity** | **41,182** | **65,728** | **122,377** | **-** | **-** |
| **BVPS** | **8.81** | **17.24** | **39.51** | **-** | **-** |
| *y/y Growth* | *(16.0%)* | *95.6%* | *129.2%* | - | - |
| Net debt/(cash) | (2,343) | (16,275) | (62,786) | - | - |
| **Cash flow from operating activities** | **5,642** | **28,091** | **48,207** | **-** | **-** |
| o/w Depreciation & amortization | 424 | 424 | 424 | - | - |
| o/w Changes in working capital | (3,174) | (5,057) | (10,370) | - | - |
| **Cash flow from investing activities** | **7,374** | **(10,566)** | **(1,300)** | **-** | **-** |
| o/w Capital expenditure | (1,833) | (1,068) | (1,300) | - | - |
| *as % of sales* | *6.8%* | *1.8%* | *1.2%* | - | - |
| **Cash flow from financing activities** | **(11,617)** | **(13,634)** | **(396)** | **-** | **-** |
| o/w Dividends paid | (398) | (396) | (396) | - | - |
| o/w Net debt issued/(repaid) | (7) | (1,279) | 0 | - | - |
| **Net change in cash** | **1,399** | **3,891** | **46,511** | **-** | **-** |
| **Adj. Free cash flow to firm** | **3,809** | **27,023** | **46,907** | **-** | **-** |
| *y/y Growth* | *(53.2%)* | *609.5%* | *73.6%* | - | - |

| Income Statement - Quarterly | 1Q25E | 2Q25E | 3Q25E | 4Q25E |
|---|---|---|---|---|
| **Revenue** | **24,000** | **25,461** | **26,693** | **27,988** |
| COGS | (5,688) | (6,543) | (6,780) | (7,081) |
| **Gross profit** | **18,312** | **18,917** | **19,913** | **20,907** |
| SG&A | (731) | (746) | (761) | (799) |
| **Adj. EBITDA** | **14,939** | **15,474** | **16,399** | **17,297** |
| D&A | (106) | (106) | (106) | (106) |
| **Adj. EBIT** | **14,833** | **15,368** | **16,293** | **17,191** |
| Net Interest | - | - | - | - |
| **Adj. PBT** | **15,083** | **15,618** | **16,543** | **17,441** |
| Tax | (2,564) | (2,655) | (2,812) | (2,965) |
| Minority Interest | - | - | - | - |
| **Adj. Net Income** | **13,248** | **13,692** | **14,460** | **15,206** |
| Reported EPS | 4.98 | 5.15 | 5.46 | 5.75 |
| **Adj. EPS** | **5.32** | **5.49** | **5.80** | **6.09** |
| **DPS** | **0.17** | **0.17** | **0.17** | **0.17** |
| Payout ratio | 3.4% | 3.3% | 3.1% | 3.0% |
| Shares outstanding | 2,491 | 2,492 | 2,494 | 2,496 |

| Ratio Analysis | FY23A | FY24A | FY25E | FY26E | FY27E |
|---|---|---|---|---|---|
| Gross margin | 56.9% | 72.7% | 74.9% | - | - |
| EBITDA margin | 23.3% | 55.0% | 61.6% | - | - |
| EBIT margin | 21.7% | 54.3% | 61.2% | - | - |
| Net profit margin | 31.0% | 53.0% | 54.4% | - | - |
| ROE | 34.3% | 99.3% | 80.0% | - | - |
| ROA | 19.6% | 60.4% | 60.2% | - | - |
| ROCE | 16.1% | 67.8% | 65.7% | - | - |
| SG&A/Sales | 8.0% | 4.2% | 2.9% | - | - |
| Net debt/equity | NM | NM | NM | - | - |
| P/E (x) | 202.2 | 52.1 | 29.7 | - | - |
| P/BV (x) | 76.5 | 39.1 | 17.1 | - | - |
| EV/EBITDA (x) | 268.0 | 49.9 | 25.3 | - | - |
| Dividend Yield | 0.1% | 0.1% | 0.1% | - | - |
| Sales/Assets (x) | 0.6 | 1.1 | 1.1 | - | - |
| Interest cover (x) | - | - | - | - | - |
| Operating leverage | (19426.5%) | 369.1% | 130.5% | - | - |
| Revenue y/y Growth | 0.2% | 125.9% | 70.9% | - | - |
| EBITDA y/y Growth | (41.6%) | 433.2% | 91.4% | - | - |
| Tax rate | 3.2% | 12.1% | 17.0% | - | - |
| Adj. Net Income y/y Growth | (25.7%) | 286.3% | 75.2% | - | - |
| EPS y/y Growth | (24.9%) | 288.4% | 75.2% | - | - |
| DPS y/y Growth | 0.0% | 0.0% | 0.0% | - | - |

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Jan. o/w - out of which

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| Date | Rating | Price ($) | Price Target ($) |
|---|---|---|---|
| 25-Feb-21 | OW | 144.99 | 165 |
| 27-May-21 | OW | 157.00 | 176 |
| 03-Aug-21 | OW | 197.50 | 215 |
| 19-Aug-21 | OW | 190.40 | 220 |
| 18-Nov-21 | OW | 292.61 | 350 |
| 26-May-22 | OW | 169.75 | 285 |
| 08-Aug-22 | OW | 189.89 | 230 |
| 25-Aug-22 | OW | 172.22 | 220 |
| 23-Feb-23 | OW | 207.54 | 250 |
| 25-May-23 | OW | 305.38 | 500 |
| 24-Aug-23 | OW | 471.16 | 600 |
| 22-Nov-23 | OW | 499.44 | 650 |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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